



**IOWA CITY COMMUNITY
SCHOOL DISTRICT**
All In for All Kids



Iowa City Community School District

General Fund Monthly Cashflow Update & Warrant Recommendation

August 11, 2026

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Agenda

- General Fund Monthly Cashflow Updates
- Interfund Loans Update
- Recommendation to Issue a Taxable Anticipatory Warrant
- Next Steps



General Fund Monthly Cashflow Updates



General Fund FY2026 Preliminary Results

Based on year-to-date actuals through July 2026:

- ✓ District staff estimate ending FY2026 with \$26,311,953
 - This is approximately \$5 million better than anticipated in PFM's last update on April 28
- ✓ Actual variance:
 - Revenues were <\$649,862> lower than anticipated
 - Expenditures were \$5,602,301 lower than anticipated
- ✓ Overall net positive variance = +\$4,952,439 additional net free cashflow

Iowa City Community School District

Exhibit 1

General Fund Monthly Cashflow

FY 2025-26

	July-25	August-25	September-25	October-25	November-25	December-25	January-26	February-26	March-26	April-26	May-26	June-26
Opening Cash Position	19,364,761	9,436,504	6,020,238	5,116,615	34,015,535	31,758,319	26,378,299	19,599,245	16,159,305	14,482,941	39,262,079	30,005,421
State Aid	423,804	-	10,648,629	10,649,513	10,649,071	10,649,071	10,593,772	10,593,772	10,593,772	10,593,772.00	10,593,772.00	10,593,772.00
Local Taxes	379,454	1,067	6,213,734	33,780,407	5,229,494	1,330,659	814,914	361,885	3,114,234	30,156,381.35	4,538,720.12	885,844.25
Other GF Revenues	707,917	941,910	4,053,518	3,490,933	272,031	221,773	941,453	4,173,236	2,496,828	1,803,913.60	3,129,516.76	7,433,345.76
GF Warrant Proceeds												
Loan Repayments IN	-	10,000,000	-	-	-	-	-	-	-	-	-	-
Total Income	1,511,175	10,942,977	20,915,881	47,920,854	16,150,596	12,201,503	12,350,139	15,128,894	16,204,833	42,554,067	18,262,009	18,912,962
Payroll & Benefits	(11,590,643)	(11,885,147)	(15,886,172)	(16,354,879)	(16,377,911)	(16,134,172)	(15,608,001)	(16,350,451)	(15,882,730)	(15,767,833)	(16,610,155)	(18,860,380)
Other General Expenses	151,210	(2,474,096)	(5,933,331)	(2,667,054)	(2,029,901)	(1,447,351)	(3,521,192)	(2,218,383)	(1,998,467)	(1,987,096)	(2,329,321)	(3,746,050)
ERate Refunding to SAVE	-	-	-	-	-	-	-	-	-	(20,000)	-	-
Interfund Loans Out											(8,579,191)	
Loan Repayments OUT	-	-	-	-	-	-	-	-	-	-	-	-
Total Expenses	(11,439,433)	(14,359,243)	(21,819,503)	(19,021,933)	(18,407,812)	(17,581,522)	(19,129,193)	(18,568,834)	(17,881,197)	(17,774,929)	(27,518,667)	(22,606,430)
Net Change In position	(9,928,258)	(3,416,266)	(903,623)	28,898,920	(2,257,216)	(5,380,020)	(6,779,054)	(3,439,940)	(1,676,363)	24,779,138	(9,256,658)	(3,693,468)
Ending Cash Position	9,436,504	6,020,238	5,116,615	34,015,535	31,758,319	26,378,299	19,599,245	16,159,305	14,482,941	39,262,079	30,005,421	26,311,953



General Fund FY2027 Projection

General Fund FY 2027 Projection:

- ✓ July 1, 2026 estimated beginning balance = \$26,311,953
- ✓ District received its first quarterly state aid payment in July
- ✓ September and March remain the pressure points in the monthly cashflow
 - Projected September cash balance = \$12,214,853
 - Assumes SAVE repays \$7,759,200 for the interfund loan
 - Projected March cash balance = \$3,552,151
- ✓ Unknowns still pending:
 - FY 2024 audit showed General Fund owed SAVE \$4 million and PPEL \$3 million.
 - FY 2025 audit is still in process.
 - SAVE cash balance is highly strained and may struggle to repay the interfund loan.

Iowa City Community School District

Exhibit 2

General Fund Monthly Cashflow

Before Proposed \$8M Draw-Down Warrant in September 2026

FY 2026-27

	July-26	August-26	September-26	October-26	November-26	December-26	January-27	February-27	March-27	April-27	May-27	June-27
Opening Cash Position	26,311,953	40,963,896	27,179,509	12,214,853	60,400,062	44,388,889	27,767,692	35,549,672	18,049,073	3,552,151	47,821,753	33,888,586
State Aid	26,990,090	-	-	26,539,729	-	-	26,539,729	-	-	26,539,729	-	-
Local Taxes	330,680	1,067	6,213,734	37,780,407	5,229,494	1,330,659	814,914	361,885	3,114,234	34,410,107	4,211,857	895,682
Other GF Revenues	997,681	941,910	4,053,518	3,490,933	272,031	221,773	121,611	1,279,133	1,333,325	2,010,464	1,692,802	6,130,397
GF Warrant Proceeds			-									
Loan Repayments IN	-	-	7,759,200	-	-	-	-	-	-	-	-	-
Total Income	28,318,451	942,977	18,026,452	67,811,070	5,501,525	1,552,432	27,476,254	1,641,018	4,447,559	62,960,300	5,904,659	7,026,079
Payroll & Benefits	(12,142,419)	(12,452,268)	(16,656,776)	(17,157,806)	(17,181,797)	(16,925,278)	(16,372,082)	(17,122,233)	(17,145,015)	(16,902,602)	(17,707,505)	(20,254,384)
Other General Expenses	(1,524,089)	(2,275,096)	(5,734,331)	(2,468,054)	(1,830,901)	(1,248,351)	(3,322,192)	(2,019,383)	(1,799,467)	(1,788,096)	(2,130,321)	(3,547,050)
ERate Refunding to SAVE	-	-	-	-	-	-	-	-	-	-	-	-
Interfund Loans Out												
Loan Repayments OUT	-	-	(10,600,000)	-	(2,500,000)	-	-	-	-	-	-	-
Total Expenses	(13,666,508)	(14,727,364)	(32,991,107)	(19,625,860)	(21,512,698)	(18,173,629)	(19,694,274)	(19,141,616)	(18,944,481)	(18,690,698)	(19,837,826)	(23,801,434)
Net Change In position	14,651,943	(13,784,387)	(14,964,656)	48,185,209	(16,011,173)	(16,621,197)	7,781,980	(17,500,598)	(14,496,923)	44,269,602	(13,933,167)	(16,775,355)
Ending Cash Position	40,963,896	27,179,509	12,214,853	60,400,062	44,388,889	27,767,692	35,549,672	18,049,073	3,552,151	47,821,753	33,888,586	17,113,232



Interfund Loans Update



Interfund Loans Update

Interfund loan TO the General Fund:

- ✓ \$10,000,000 interfund loan from the self-insurance fund
 - Must be repaid in September
 - With interest = \$10,600,000

Interfund loans FROM the General Fund:

- ✓ \$7,320,000 interfund loan to SAVE
 - SAVE must repay the General Fund in September
- ✓ SAVE will need another interfund loan from General Fund no later than May 2027 to make June 1, 2027 principal and interest payments
 - Estimated to be around \$6,100,000
 - *This is larger than originally anticipated due to SF 2472 per pupil funding reductions.*
- ✓ SAVE will need a third and hopefully final interfund loan in May 2027 to make June 1, 2028 principal and interest payments
 - Estimated to be around \$2,500,000



Recommendation to Issue a Taxable Anticipatory Warrant



PFM Recommendation

- ***PFM recommends the District issue a Taxable Anticipatory Warrant in September 2026.***
 - ✓ Very low cost option that provide maximum cashflow flexibility and stable liquidity.
 - ✓ Eliminates the need to rely on interfund loans.
 - ✓ Terms of Offering recommendation:
 - \$8,000,000 draw-down Taxable Anticipatory Warrant
 - Issued with a local bank
 - No interest cost unless borrowed
 - Allows for repayment of draws in higher cashflow months.
 - ✓ Proceeding with a draw based Taxable Anticipatory Warrant now provides maximum flexibility and hedges against remaining unknown variables.



Next Steps



Next Steps

- ***PFM is seeking your direction to proceed with the issuance of not to exceed \$8,000,000 Taxable Anticipatory Warrants.***
- Should the Board choose to proceed, listed below is the proposed issuance timeline:
 - ✓ *August 11: Board gives direction to PFM and Ahlers to proceed*
 - ✓ *NLT August 25: Deadline to negotiate final terms with local bank for loan agreement*
 - ✓ *September 3 or 4: Special Board meeting to authorize issuance proceedings*
 - ✓ *September 11: Close the loan (prior the September 15 payroll)*
- Should the Board NOT choose to proceed:
 - ✓ An interfund loan may be needed to fund September 15 payroll
 - *Potential funding sources: Health Insurance or Nutrition Fund*
 - ✓ Issuance timeline should a new interfund loan be needed:
 - *NLT August 25: Provide Ahlers interfund loan details for resolution*
 - *September 8: Board approves resolution for a new interfund loan*
 - *September 9: Fund are available (prior to September 15 payroll)*

Questions?

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